Funding for companies' R&D activities

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1 Funding decision and its terms and conditions

The funding decision enters into force at the time of decision-making.
However, the implementation of the decision and the legal effects based on it will only begin when:

1. the conditions set for the decision to enter into force have been met, and
2. the beneficiary has confirmed the decision and these conditions.

The funding decision will lapse if the conditions set for the decision to enter into force are not met within the deadline set. A separate decision will be made on the lapse.

The beneficiary must confirm receipt of the funding decision and these funding terms and conditions in accordance with the instructions. The confirmation will also include the beneficiary's account number to which the funding will be paid. Funding cannot be paid until the funding decision, and its conditions have been confirmed as received. The recipient of the decision must be authorized to sign for the organization.

These terms and conditions for funding are part of the funding decision, and compliance with them is the prerequisite for payment of the funding.

These funding terms and conditions have been issued under section 11(3 and 4) of the Act on Discretionary Government Transfers and section 3 of the Act on State Lending and State Guarantees.

2 Publicity of the funding decision

The following information will be public: the beneficiary's name, business ID, size, domicile, sector, register number of the funding decision, form of financing, granting date, the amount of funding granted and the amount paid. The State Treasury publishes public information about state grants in the service for publication and use of state grant information (Tutkiavustuksia.fi).

When the beneficiary disseminates information about the project or its results, it must disclose that Business Finland has provided funding for the project.

The Funding Agency may need information from other authorities and funders for the payment and supervision of funding. Provisions on the exchange of information between authorities are laid down in the Act on the Customer Information System for Business Services (293/2017) and the Act on Discretionary Government Grants. Provisions on the disclosure of trade secrets are laid down in the Act on the Openness of Government Activities (621/1999).

The beneficiary must submit their annual statements, including appendices, for publication in the Finnish Patent and Registration Office, as laid down by law.

3 Accountable project leader

The beneficiary authorizes an accountable project leader who is in an employment relationship with the beneficiary or holds a position of responsibility in the company. A person disqualified from the practice of commercial activities cannot act as the accountable project leader.

The accountable leader monitors the implementation of the project referred to in the funding decision and must ensure that

- project accounting has been arranged in accordance with these terms and conditions
- working time monitoring has been arranged in accordance with these terms and conditions
- the decision and related terms and conditions are reviewed with financial management/an accounting firm, and they have been sent to the auditor for information
- the project is implemented in accordance with the plan
- reported costs have been incurred by the project during the duration of the project

- the persons chosen to manage the matters pertaining to the project in the online service have access rights to the project.

If the accountable project leader changes, the beneficiary must submit an application for a change of accountable leader during the project or 10 years after the payment of the last installment or as long as the loan capital remains. Changes to the contact details of the responsible person must also be reported to the Funding Agency.

4 Reporting

The accountable project leader is responsible for reporting on the project.

The beneficiary must be able to demonstrate how the project plan has been implemented and what the results of the measures have been.

The report is appended with a formal salary specification form (Y4). Due to the confidentiality of salary information, the salary specification cannot be downloaded for viewing from the service like the other documents. An auditor's report must also be appended to the final report. The forms are available on the Business Finland website.

Upon request, the Funding Agency must be provided with additional information if required for project monitoring. Additional information may include copies of receipts, invoice itemizations, selection criteria for purchased services and working time monitoring reports.

The beneficiary must declare all project costs at the latest in the final report. If it is necessary to make changes between the cost categories in the cost estimate, the beneficiary must apply to change the cost estimate in the online service. No new project costs can be presented after the approval of the final report.

The costs that have been initially approved on the basis of the interim report will be revaluated in connection with the final report. The Funding Agency will only give its final approval to the costs after it has received the auditor's report.

If necessary, the project may be subjected to a cost audit of all expenses incurred in the project before the payment of the final instalment. The cost audit does not replace the confirmation of costs appended to the report (an auditor's report or an assurance by the contact person for the cost statement) or revoke any other auditing rights.

5 Auditor's report

The costs are confirmed on the auditor's report. The beneficiary must submit an auditor's report covering the entire duration of the project and prepared by an independent auditor as part of the final report. The report template is available on the Business Finland website. The Funding Agency has the right to demand an inspection with a larger sample size, if, for example, the auditor's report has a lot of observations.

Reasonable costs arising from the auditor's report prepared by the project auditor can be accepted as direct project costs. If the billed and paid costs incurred by the audit are not included in the project costs confirmed by the auditor, copies of the invoice of the audit costs and receipt/bank statement must be submitted to the Funding Agency.

The Funding Agency has the right to deliver the auditor's report to other authorities for the purpose of monitoring the use of funding.

6 Payment of funding

The Funding Agency will pay the funding based on the approved report submitted on time. The funding will be paid at the maximum funding percentage stated in the funding decision. The final report submitted after the deadline according to the reporting schedule will not be processed and the funding will not be paid. The final funding instalment must be applied for in connection with the final reporting. After this, funding applied for will no longer be paid.

The Funding Agency has the right to withhold funding in connection with the interim report if the sum to be paid is too small when compared with the total funding.

Entitlement to the granted funding or part of it will lapse if the beneficiary does not submit the requested reports or further information by the due date specified in the funding decision or separately notified by the Funding Agency. Funding Agency may order any funding already provided to be repaid immediately, with interest.

6.1 Grants

A minimum of 10 per cent of the funding granted for the project will only be paid after the approval of the final report. The final instalment will be paid if the project has accumulated an adequate amount of eligible costs.

6.2 Loans

The State Treasury is responsible for administering the loan and the related practical payment arrangements. The first installment of the loan can be paid in advance when the beneficiary has signed the promissory note received from the State Treasury. The right to the granted funding expires if the beneficiary of the funding has not delivered the documents requested by the State Treasury or signed the promissory note within six months from the date of the loan advance payment decision. The loan must be drawn at the State Treasury within six months of the date of the payment decision letter issued after the final report. In addition to these terms and conditions, the loan recipient must comply with the terms and conditions set out in the bond issued by the State Treasury.

The final instalment of the loan is at least 20 per cent of the principal of the granted loan. It will not be paid until the final report has been approved and if the project has accumulated an adequate amount of eligible costs.

If the final report shows that, including the advance payments, the loan payments exceed the amount due for eligible costs, the beneficiary must return the excess amount.

The Funding Agency also has the right to withhold payment of the full loan amount intended to cover the costs detailed in the interim report if the project costs do not accrue as planned.

7 Monitoring of costs and project accounting

The beneficiary must arrange its accounting so that the costs arising from the project can be itemized and their connection with the accounting and the reported costs can be verified.

Working time monitoring forms a part of the project accounts.

In connection with the first interim report, the beneficiary must submit a description of the project accounting and working time monitoring. The description must indicate whether the project accounting and working time monitoring have been arranged in accordance with the funding terms and conditions.

If the customer's accounting system does not permit the generation of cost-category-specific reports, the customer must draw up some other calculation that lists how accounting costs are allocated to cost categories (such as an Excel spreadsheet).

Accounting must include purchase invoices for project purchases. The invoices must specify the product or service purchased for the project.

Costs incurred from the auditor's report may be incurred and may be paid after the project has ended.

Project accounting and all documents related to the implementation and costs of the project, as well as other material necessary for the supervision and auditing of the project, must be retained for at least ten years from the date of the last payment for the project. Project material includes, for example, expense and payment receipts, procurement documents, personally kept working time records with confirmation notes where required, and salary specifications submitted as appendices to the report.

The Funding Agency has the right to reject costs if the project accounting has not been organized in accordance with these terms and conditions or cannot be considered reliable.

8 Working time monitoring

Every person working for the project must record the time they allocate to the project on an hourly basis for the entire duration of the project. Hours worked must be reported monthly for the days when the work was performed. Any working time monitoring conducted after submitting the salary specification in connection with the report will not be accepted. Working time monitoring also applies to persons who are paid trade income. If the beneficiary's time tracking system does not allow for monitoring project working time, the beneficiary must track project working time, for example in Excel. An example of hourly tracking can be found on the Business Finland website.

If the Working Hours Act does not apply to the person or the working hours have not been defined for the person in writing, the Funding Agency uses an estimate of 10 h/day or 215 h/month as the total working time. Such persons are, for example, the CEO and other management as well as shareholders.

The accountable project leader or the employee's supervisor must approve the working hours at least on a monthly basis. The CEO or the accountable project leader cannot confirm their own working hours. The confirmation shall indicate the name of the person who has made the confirmation and the date on which it was made. The confirmation must be verifiable afterwards.

The Funding Agency has the right to refuse approval of the salaries in whole or in part if the working time monitoring has not been in compliance with the above terms and conditions or cannot be regarded as reliable.

9 Eligibility of costs

The project plan and cost estimate approved by the Funding Agency form a part of the funding decision and serve as the basis for accepting the costs.

The following costs are considered eligible costs: research, development and innovation expenditure that

- have been paid and entered in the accounts of the beneficiary
- are in net amount and VAT exempt
- have arisen from the project during the duration of the project (accrual basis)
- necessary and reasonable for the implementation of the project.

The costs must be based on the corresponding expenditure payment records. This does not apply to computational costs allocated to the project. The expenses must be fully paid in money by the

beneficiary when they are reported to the Funding Agency. Procurements may not be paid by loans issued by the recipient of the payment. Invoice for work performed during the project may be paid after the project end date but before the costs are reported to the Funding Agency.

The Funding Agency has the right not to accept costs presented in a statement if their relevance to the project is not clearly substantiated or they are too large in view of the project results.

All costs based on the project plan must be reported to the Funding Agency. Final approval of the costs for a project can only be given after the costs have been approved.

To ensure the effectiveness of the funding, only procurements and work ordered or agreed upon in writing after submitting the funding application are approved for the project. In exceptional cases, the procurement ordered for the implementation of the project before submitting the funding application can only be accepted if the order or contract contains a clause stipulating that the procurement will be canceled if the funding decision is negative. Even then, the costs are only eligible from the date of submission of the funding application at the earliest.

Costs will be approved ex VAT, unless the beneficiary is not liable to pay VAT. The costs on which VAT is payable may also be reported if they are connected with VAT-exempt operations and the VAT will be payable by the beneficiary.

The Funding Agency may, at its discretion, accept a procedure for certain cost categories based on the unit cost prices derived from accounting expense entries provided by the beneficiary's cost accounting systems, but not hourly rates based on calculated average hourly earnings. The use of this must be agreed on a project-specific basis.

The Funding Agency or a party authorized by it has the right to audit the reliability of the accounting system. The Funding Agency may also require that an independent auditor issues a statement on the reliability of the accounting systems.

10 Procurement procedures

In all procurements, the beneficiary must ensure that the bidders, subcontractors, or their beneficiaries are not subject to sanctions imposed by the European Union or the United Nations (UN), or decisions to freeze assets imposed by the Finnish authorities.

When the beneficiary is a public procurement unit or the funding provided by the Funding Agency or other public funding covers more than 50 per cent of the project costs, the beneficiary must observe the provisions of the Act on Public Procurement and Concession Contracts (1397/2016). When the total value of the procurement is at least 60,000 euros, the procurement must be tendered as a public procurement. When a procurement must be put out to tender, the HILMA number or the criteria for direct award are indicated in the reporting.

Business Finland grants are always public aid in their entirety, but loan financing, on the other hand, is public aid only for the part of the interest-rate subsidy specified in the funding decision.

If a public procurement unit has made a procurement in violation of the procurement provisions, the purchase price is not an eligible cost for the project.

11 Declared salaries

Of the salary paid to a person for their total working hours, the beneficiary can only report the salary paid for the hours spent on the project according to working time monitoring (see the acceptable methods of calculating the working hours in the salary specification form Y4). The Funding Agency will compare each person's declared overall salary to the information in the Incomes Register. As a public authority, Business Finland receives its information from the Incomes Register.

Eligible costs include salaries subject to withholding tax for the effective working hours dedicated to the project by participants working on the project, for up to 11 months per year (specification template Y4).

Effective working hours do not include absences on full pay, such as annual holidays, or the time spent on sick leave or maternity, parental or paternity leave.

The amount of salaries reported to the Funding Agency

- may not substantially differ from what has been paid to the person in question for work of a corresponding level, either before the project or immediately after it
- must correspond to the compensation paid to the person by the beneficiary for other work during the project.

The Funding Agency may, at its discretion, accept the payment of a reasonable salary to a person working for the project who has not been paid any salary for any work before the project.

The Funding Agency will not accept any salary components that are paid to a person on the condition that funding for the pay component is received from a public funding body.

The beneficiary must notify the Funding Agency in the salary specification if performance-related or other exceptional payment components are included in the salaries reported to the Funding Agency. The Funding Agency may, at its discretion, approve them if they are an established and important part of the beneficiary's salary payment regime. The beneficiary must always submit the details of the total amount of the exceptional salary components, the payment criteria and period for which the components are paid so that the proportion allocated to the project can be determined.

The beneficiary must report the wage subsidy received for the reported salary in the Additional information section of the salary specification form (Y4). The total amount of wage subsidy and support from the Funding Agency may not exceed the maximum support specified in the decision. The beneficiary must report the funding received from the Funding Agency to the authority that granted the wage subsidy.

If the compensation paid is classified as trade income and not as salary, the beneficiary must report it under Purchased services.

As a rule, the salaries of the beneficiary's managerial and administrative personnel are classified as overheads. Such salaries may, on a case-by-case basis, be accepted as direct costs, if the work performed is directly allocated to the project.

The beneficiary must report any project-related salaries paid to persons coming from abroad to work in Finland or persons working abroad. The information is entered in the salary specification form.

12 Indirect personnel costs

A percentage of the salaries paid for effective working hours and approved for the project that is laid out in the project cost estimate (max. 50%) can be accepted as indirect personnel costs.

Indirect personnel costs include

- midweek holidays, holiday pay, sick pay, leave pay and holiday bonus
- social security costs
- other employment costs, such as recruitment costs, personnel training, fringe benefits, workwear, and protective clothing.

The Funding Agency has the right to intervene in budgeted indirect personnel costs arising from employment relationships that are not subject to the same indirect personnel costs as conventional employment relationships. Such employment relationships may apply to individuals who do not come under the Working Hours Act (shareholders in management positions), persons coming from abroad to work in Finland or persons working abroad.

- If a salary's social security costs are not paid to Finland, indirect personnel costs cannot be accepted as project costs.
- For persons that do not receive any holiday pay, a total of 30 percent of all reported salaries are approved as indirect personnel costs.

The Funding Agency has the right to verify all indirect personnel costs and pay the funding on the basis of actual indirect personnel costs when these remain below the level approved in the cost estimate.

13 Overheads

The Funding Agency can accept as overheads a percentage of the project-related salaries and indirect personnel costs as set out in the project cost estimate. If social security costs are not paid to Finland on salaries subject to withholding tax, overhead costs are not accepted as project costs either.

Costs considered as overhead are not eligible under other cost categories. Such costs include

- the salaries of managerial and administrative personnel
- administrative costs, such as accounting services and general legal counselling
- IT, phone, office, and facilities costs and the related depreciation
- annual patent payments.

The Funding Agency has the right to have the indirect cost percentage checked and to pay funding on the basis of actual overheads, if they fall below the level approved in the cost estimate.

14 Travel expenses

The travel expenses reported for the project must be in accordance with the project plan and the related working time must be recorded in the project's time monitoring. If other work was also performed during a trip specified in the project plan, the share of these hours must be deducted from the project's travel expenses in proportion to working time.

The travel expenses included in the project plan can be accepted in accordance with the following regulations of the Finnish Tax Administration:

- Decision of the Finnish Tax Administration on the tax-exempt compensation of travel costs
- Instruction of the Finnish Tax Administration concerning compensation for commuting expenses.

Travel costs that are connected with the identification of international partners or with the preparation of international follow-up projects are accepted as project costs if the preparation of the international project is included in the project plan.

15 Material and supplies costs

Material and supplies costs based on procurement from an external supplier can be accepted as invoiced.

Internal material and supplies costs must be reported at cost price.

16 Machinery/equipment purchases

The Funding Agency may accept the cost arising from the purchase of an equipment for the project as a direct project cost if the special part is mainly used in the project and, according to the Accounting Act, the acquisition cost of the equipment can be recognized as an expense in the financial period in which it was taken into use.

If the instrument is also used for other purposes, the acquisition cost may be accepted to the extent that the instrument is used in the project.

Second-hand machinery and equipment are eligible if no public funding has been received for purchasing second-hand machinery or equipment in the previous five years. It is the beneficiary's responsibility to identify the previous owners of second-hand machinery or equipment during the previous five years and to find out whether they were subsidized. The five-year period is calculated from the latest payment of subsidies towards the machinery or equipment received by the seller. Second-hand machinery or equipment is always deemed to have been purchased on the date on which the transaction was agreed (contract, order, delivery, or payment).

What is stated of the instrument above also applies to the software required in the project.

Fixed assets acquired by means of a partial payment contract made with a financing company that is in accordance with the Hire Purchase Act or means of a similar arrangement can be accepted as an equipment purchase when the amount of the instalments paid is at least equivalent to the percentage of the Funding Agency's funding of the fixed assets in question. In such instances, the fixed asset must be in the possession of the beneficiary.

The acquisition costs of personal computers, mobile phones and other equipment included in overheads are not accepted as equipment purchases, equipment depreciation or rental costs.

17 Machinery/equipment depreciation/rental costs

If the acquisition cost of machinery or a piece of equipment is capitalized and depreciated as an expense over its useful life according to plan, the depreciation accrued during the project period will be accepted.

Depreciation and rental costs of machinery and equipment that are during the project mainly used in the project are eligible in so far as they are used in the project.

SaaS/cloud service purchases must be declared as Machinery and equipment rental costs.

The depreciation may be accepted as planned depreciation logged in the accounts provided that no other public funding has been received for purchasing the assets.

The costs of rental equivalent to the cost of fixed assets that have arisen during the duration of the project are eligible up to the value of equivalent purchase costs. Other rental costs, such as administration, financing, insurance, repair and other equivalent costs, are not eligible costs. If the above costs cannot be itemized, a maximum of 50 per cent of the total rental cost to the project are eligible as project costs.

The terms and conditions concerning machinery and equipment depreciation and rental costs also apply to R&D facilities costs where the acquisition of these is essential to the project.

18 Purchased services costs

The costs of research, know-how or patents purchased or obtained on license from external sources on market terms, and the costs of consultation and similar services, may be approved as per the project plan and invoices if these purchases have been used only in the project and nowhere else. Business Finland does not accept the allocation of purchases for a project as a percentage of the

total sum of a purchase invoice, for example. For invoices in foreign currency, the exchange rate on the date of payment is used.

Purchased service costs can also include as direct project-related expenditures audit of the project costs and information and data gathering.

In addition, SMEs can include the costs of initial applications for intellectual property rights incurred during the project in the purchased service costs. The level of funding may be up to 50%. Costs are approved up to the granting of the intellectual property right, including the costs of responding to an interim decision. Business Finland will not approve costs related to maintenance (such as annual fees) or the patenting or international expansion of intellectual property rights of results achieved before the start of the project. Business Finland will not approve costs of opposition proceedings, appeals or infringement trials.

Costs related to the IPR applications of large enterprises (incl. midcap companies), as defined by the EU, will not be approved. In contrast, costs related to novelty searches are approved costs also for large enterprises. A large company refers to a company that is not considered an SME under Article 2 of Annex I of the Block Exemption Regulation. (Commission Regulation (EU) No 651/2014 declaring certain categories of aid compatible with the internal market in application of Articles 107 and 108 of the Treaty; Official Journal of the European Union L 187 26 June 2014, p. 1)

Software required for the project is approved under Machinery and equipment costs or Machinery and equipment depreciations and rental costs, not under Purchased services.

Services purchased from domestic SMEs; for these purposes, a small and medium-sized enterprise (SME) is defined as a Finnish company with fewer than 250 employees. Also, fees billed by an independent contractor are declared under “Services purchased from SMEs”.

Services purchased from domestic public-sector research organizations; a research institution is defined as a Finnish university, university of applied sciences or public research institute.

Services purchased from other domestic companies/entities; services purchased from domestic organizations other than those specified above are entered under this cost category.

Services purchased from the European internal market area; under this cost category are entered the purchased services from the European internal market area (an area formed by the European Economic Area and the Swiss Confederation).

Services purchased from outside the European internal market; services purchased from outside the European internal market are entered here.

19 Purchases from other companies in the same group and associated companies

The Funding Agency may approve purchases from group companies and associated companies as project costs the in accordance with these funding terms and conditions. Group companies refer to companies belonging to the same group. Associated companies are companies, regardless of their legal form, between which there is an affiliation as defined in these terms and conditions.

19.1 Business Finland’s definition of a related party

A related party refers to a situation in which another company or a person affiliated with that company can influence the beneficiary's procurement decisions. Companies are associated companies of each other, for example, when one of the following interests exists between them:

- Interest based on control
  - One company can exercise control over another company, or
  - The same individual can exercise control over both companies
- Interest based on ownership
  - At least 20% of the entire share capital or equivalent equity of another company is directly or indirectly owned or controlled by the other company, or

  - Companies whose share capital or equivalent equity is directly or indirectly owned or controlled by the same individual

- Interest based on the position or function of an individual
  - The same individual acts in both companies in any of the following roles:
    - member/deputy member of the board
    - person responsible for the company or holder of the right of representation or power of attorney
    - employee of the company
    - financier or guarantor of the company

- Interest based on family membership or close relationship
  - The individual acts in the company in any of the roles mentioned in section 3 and his/her family member or close relative also acts in any of the above-mentioned roles in another company. A family member refers to a spouse or common-law partner living in the same household, one's own child and one's spouse's child. A close relative is considered to include a grandchild, sibling, parent, grandparent and similar relatives on the spouse's side.

19.2 Purchases from foreign group companies and foreign associated companies, and costs arising in an office abroad

The Funding Agency may also accept as project costs purchases from foreign group and associated companies and costs incurred by the recipient of funding at a branch office located abroad only if this is stated in the special conditions of the funding decision. Only direct project costs are accepted as eligible costs. Indirect personnel costs and overheads are not accepted. Exchange rates on the date of payment are applied to invoices submitted in a foreign currency.

In other respects, purchases from foreign group and associated companies must comply with the financing conditions for the associated company's project accounting and cost reporting.

19.3 Project accounting and cost reporting of an associated company

In order for the costs of the group and associated companies to be eligible, the group and associated companies must also comply with these funding terms and conditions. The beneficiary must ensure that the group companies and associated companies arrange project accounting and working time monitoring in a manner that is in accordance with these terms and conditions.

The group companies and associated companies must provide the beneficiary with an invoice for the services purchased for the project. The Funding Agency may accept costs incurred by the seller for providing the service and paid by the beneficiary. Group-internal administrative costs and items paid as administrative fees are not eligible project costs.

The Funding Agency will accept the paid purchased services without profit. In order to demonstrate the non-profit nature of the services, the group companies and associated companies must also provide the Funding Agency with a separate project cost statement of the costs arising from the project.

The costs are declared using the template ‘Cost statement for associated company Y3+Y5’ and a separate salary specification (Y4). The authorized signatory of the group company or associated company signs the form. The forms are available on Business Finland’s website.

The beneficiary must submit the cost statement of each group company or associated company in a separate file. No later than in connection with the final report, the beneficiary must submit a separate auditor’s report in a specified form detailing the declared costs of the group company or associated company. The auditor’s report must be prepared by an independent auditor. The report can be submitted in Finnish, Swedish or English. The report template is available on the Business Finland website. The Funding Agency may, at its discretion, exceptionally accept purchased services without a separate cost statement even from associated or group companies.

In addition to direct project costs, indirect personnel costs and overheads connected with salaries are also eligible costs for Finnish group and associated companies. A maximum of 50 per cent of the salaries allocated to the project are accepted as indirect personnel costs. The overhead of a group company or associated company are reported using the rate based on the company's number of personnel specified in its most recent financial statements:

- less than 10 persons: – 10% if the company's overhead costs are small (for example, the company has no premises) – 20% if the company has premises for which it pays a fair price and its accounting is outsourced
- 10–19 persons: 20%
- 20–49 persons: 30%
- 50 persons or more: up to 50%.

20 Ineligible costs

Costs that are not necessary for the implementation of the project or are otherwise unacceptable are not accepted for the project. Such costs include, for example:

- entertainment expenses, gifts and donations, stipends, or grants
- costs related to business, production, advertising, marketing, or sales, such as salaries, travel, brochures, advertising expenses or professional fairs
- financing costs
- purchases for which the order/contract date cannot be verified
- official fees, excluding the costs mentioned under Purchased services
- certification costs when they are not in line with the project plan for the development of innovation activities
- costs associated with the purchase, protection and implementation of industrial property rights incurred in the projects of large companies
- the beneficiary's funding share for a project implemented in a research organization or other organization
- costs for which public funding that may not be combined with other types of public funding is allocated (for example, the payroll costs of a person who has received a startup grant for the same period)
- services containing other public funding
- any financing, administration, insurance, repair, maintenance, or equivalent costs arising from acquisitions financed through a part payment agreement
- administration, financing, insurance, repair, or equivalent costs related to machinery and equipment rental
- machinery and equipment rental costs that have arisen duration of the project to the extent that they exceed the equivalent purchase price
- costs that are not included in the project plan

21 Consideration of income

If the beneficiary receives income obtained through costs reported to Business Finland, it must report such income to the Funding Agency without delay. Income may be generated through the sale of a pilot, prototype, or the results of test production, for example. If a pilot or prototype resulting from the project is industrialized, the change must be reported in writing to Business Finland.

In projects financed with a loan, income generated during the project or immediately after it has ended must be reported in the final report at the latest.

When a project has been granted aid, the income report and notification of industrialization must be submitted immediately when income is generated or if the purpose of a pilot or prototype has changed. The reporting and notification obligation will continue for five years of payment of the final

funding installment or as long as the acquisition cost of the pilot or prototype remains in the beneficiary's balance.

If such income is substantial, the Funding Agency has the right not to accept the costs allocated to commercial operations or deduct the income from the costs.

22 Other public funding

The reports must specify all other public funding granted for the project by the state, municipalities and other public entities or bodies or foundations governed by public law. Funding granted by the European Union must also be reported.

The combined total funding that the project receives from the Funding Agency and other providers of public funding may not exceed the project's maximum limit for public funding. If necessary, the Funding Agency will reduce its own contribution so that the maximum amount of public funding is not exceeded.

23 Joint action

In joint action, the parties must provide the Funding Agency with a progress report on their own work according to the schedule mentioned in the funding decision and the funding terms and conditions. In addition to the monitoring of project costs and progress, the project partners must report on how well cooperation has been realized. Any departures from the cooperation foreseen in the project plan must be approved by the Funding Agency.

Each party must declare its own project costs. Purchased from another joint action partner can only be accepted as a project cost if the purchased service or other acquisition forms part of the business operations of the seller, i.e., it is not part of the R&D&I activities which the seller declares to the Funding Agency. All parties benefiting from a possible coordination service in a joint action must contribute to the costs of coordination.

Funding for joint action is usually paid to all the partners at the same time. Payment of funding may be discontinued for all of the partners, if the cooperation foreseen in the project plan is not achieved due to a breach of the funding decision or the funding terms and conditions on behalf of one of the partners.

The Funding Agency has the right to disclose information to other project partners if such information affects cooperative activity and/or the payment of the funding. The beneficiary will be heard before such a disclosure is made.

24 Monitoring the effectiveness of funding

The Funding Agency will continue to evaluate the impact of the projects after their completion.

If necessary, the beneficiary must report on project results for five years after the completion of the project.

The beneficiary must, on request, provide details of the outcome of the plans and forecasts that it presented during the processing of the application and the realization of the project. Upon request, the Funding Agency must be provided with a report on how the business targeted in the project has developed.

25 Changes to the project

The beneficiary must obtain the Funding Agency's consent for project changes. Consent must be sought from the Funding Agency in writing in advance / before the change if the project's progress deviates from the plan:

- significant changes to the project plan
- changes to cost categories
- changes to the schedule
- changes to the date of the final report
- changing the accountable project leader.

The beneficiary must immediately notify the Funding Agency of other significant changes to the project, for example if there are changes to key personnel resources.

A positive amendment decision can only be made if the beneficiary has fulfilled their registration, declaration, and payment obligations in relation to taxes or other legal obligations.

A change in the beneficiary's bank account is reported using form Y1 available on the website.

26 Project ownership and intellectual property (IPR)

The beneficiary must ensure that it holds the ownership and intellectual property rights in the items used and results generated in the project, either pursuant to legislation (e.g., Copyright Act, Act on the Right in Employee Inventions) or by separate agreement.

If the beneficiary uses intellectual property rights owned by a third party (including employees and owners) in the project, it must ensure that it has sufficient rights to use these intellectual property rights for the research and development as well as the business activities in accordance with the project plan.

27 Reassignment and approval of corporate reorganization

The beneficiary may only reassign the funding decision to a third party during the project with the prior written approval of the Funding Agency. Prior to the reassignment, the original beneficiary must report and declare its share of the project. The auditor must submit an auditor's report on the declared costs.

The beneficiary must notify the Funding Agency in writing in advance if it, during the project, within five years of the payment of the last instalment of the funding or before the loan, including interest, has been repaid in full:

- sells, gives as security, or otherwise assigns business or any part thereof generated in the project
- sells, gives as security, or otherwise assigns intellectual property rights, licenses, or other rights generated in the project
- moves its business activities abroad, or
- undertakes other significant business changes or restructuring, including sale of a business or a share majority, merger, division, and significant personnel cutbacks directed at operations funded by the Funding Agency.

Prior written consent of the Funding Agency is required for the measures referred to in this section that are carried out outside the European internal market or that may undermine the realization of the targeted project impacts, or that make it more difficult for the beneficiary to repay the loan. If, as a result of business arrangements, control moves outside the European common market area, the Funding Agency may require repayment of the funding granted.

Consent to the transfer of the right of use is not required if licensing is an essential part of the business originally pursued in the project.

The Funding Agency may give its approval if the targeted project impacts can, for the most part, be achieved and the loan repayment secured despite the changes. The Funding Agency has the right to claw back the funding under section Clawback of funding of these terms and conditions if the beneficiary violates against the provisions laid down in this section.

28 Amendments to lending terms

If the commercial use of the project results is substantially delayed, the Funding Agency may for extremely weighty reasons extend the loan period to a maximum of twenty years. The grace period may not exceed ten (10) years. The beneficiary must apply for the loan amendment before the loan is due.

If the project or the commercial utilization of its results fails completely or partially, the Funding Agency may in exceptional cases waive the outstanding loan principal and the interest payments.

Changes to lending terms must remain within the maximum project support as set out in sections 11 and 12 of the Government Decree 1444/2014. In cases where the funding contribution is less than or equal to the maximum funding intensity, the full principal and interest may be waived. The loan may be partially waived in proportion to the failure of the project or the failure to utilize it commercially.

In exceptional cases, a loan granted on the basis of the temporary aid scheme may be waived in full.

If the beneficiary has essentially neglected its obligations on loan repayment or other public obligations, the Funding Agency may only make changes to the lending terms on extremely weighty grounds.

The loan period cannot be extended or waived solely on the grounds that the desired impacts of the project as declared by the beneficiary and set out in the funding decision have not been realized.

In the event that the provisions in this section differ from those on non-recovery of loans by the Funding Agency set out in the annual state budget of the year in which the loan was granted, the budget provisions take precedence.

29 Beneficiary’s disclosure obligation

The beneficiary must provide the Funding Agency with accurate and sufficient information for the payment of funding and for monitoring the compliance with the terms and conditions.

The beneficiary must inform the Funding Agency without delay of any change affecting the realization of the intended use of the funding or of any other change affecting the use of the funding.

30 Right of inspection

Innovation Funding Agency Business Finland, the National Audit Office, the State Treasury, the Ministry of Finance, the Government Financial Controller’s Function, the Ministry of Economic Affairs and Employment, the European Commission, the European Court of Auditors, the European Public Prosecutor’s Office (EPPO), and the European Anti-Fraud Office (OLAF) have the right to obtain necessary information about the use of the support and to audit the finances and operations of the beneficiary as required for the payment of the funding and supervision of its use. Right of inspection will remain in effect for a period of ten years from the payment of the last project instalment.

The audits can be performed by other authorities or auditors authorized by the Funding Agency. An external expert may, at the Funding Agency's request, assist in the performance of the audit. By accepting the funding decision and its terms and conditions, the beneficiary provides their written consent that it will fully cooperate to protect the financial interests of the Union and authorizes the European and national officials to exercise their powers comprehensively as well as agrees to ensure that any third parties participating in the management of the Union's assets will grant similar rights.

The beneficiary should assist with the inspection and provide the needed information for the inspector without compensation.

The auditor has the right to seize any material subject to audit, if auditing so requires. A written record must be drawn up of any seizure of materials during an audit. The record must state the purpose of seizing the material and what has been seized. The seized material must be returned without delay when it is no longer needed for the audit.

The auditor has, to the extent required by the audit, the right to enter the premises managed or used by the beneficiary. This applies to the business, storage and other similar premises used for practicing a profession or a business, as well as other areas relevant to the granting of the funding and the supervision of its use. Audits may not be carried out in premises covered by domestic peace.

31 Discontinuation of payment

Innovation Funding Agency Business Finland may order the temporary discontinuation of the payment of the funding on following grounds:

1. The Funding Agency has reasons to suspect that the beneficiary does not provide the Funding Agency with correct or adequate information or uses the funding in a manner that is in violation of the funding decision.
2. The grounds on which the funding was granted have essentially changed. Such changes include situations where
    a) the beneficiary deviates from the project plan without a written authorization granted by the Funding Agency
    b) there is a substantial deterioration in the beneficiary's financial position in relation to the anticipated trend
    c) the beneficiary loses its equity in full
    d) the beneficiary initiates reorganization proceedings
    e) the beneficiary neglects its registration, notification, or payment obligations related to taxes or other regulatory obligations
    f) the beneficiary has outstanding debt to the State or the institutions of the European Union arising from their payment or recovery decisions or orders
    g) the beneficiary has recovery decisions with which it has failed to comply
    h) the beneficiary has failed to adhere to the repayment obligations concerning the loans granted by Business Finland
    i) the beneficiary does not provide sufficient information about the owners or beneficiaries so that the Funding Agency can take measures related to knowing your customer
    j) the beneficiary does not provide the Funding Agency with sufficient information regarding the providers, subcontractors, or their beneficiaries, so that the Funding Agency can make sure that these actors are not subject to sanctions imposed by the European Union or the United Nations (UN), or decisions to freeze assets imposed by the Finnish authorities k) the beneficiary has not appointed a accountable leader for the project who is employed by the beneficiary or has a position of responsibility in the organization
    k) the beneficiary has not appointed an accountable leader for the project who is employed by the beneficiary or has a position of responsibility in the organization.
3. The payment of funding must be discontinued under European Union legislation.

If the grounds for the discontinuation are not corrected within the time specified in the decision to interrupt funding, Innovation Funding Agency Business Finland has the right to discontinue payment of the funding and to claw back the funding already paid in whole or in part.

32 Repayment of funding

The beneficiary must, without delay, repay any funding or part thereof received through error, in excess or manifestly without cause. Grants of less than 100 euros need not be repaid.

The beneficiary must contact the Funding Agency before the repayment of funding.

33 Clawback of funding

Innovation Funding Agency Business Finland may claw back any funding already paid or order the immediate repayment of a loan if the beneficiary violates these terms and conditions.

33.1 Clawback obligation

Innovation Funding Agency Business Finland will order the discontinuation of the payment of funding and the clawback of funding already paid if the beneficiary has

1. failed to return funding or part thereof that must be repaid under section Repayment of funding
2. used the funding for a purpose essentially different from that for which it was granted
3. provided false or misleading information about a matter that has been essential to the granting of the funding, its amount or terms and conditions
4. otherwise essentially violated the provisions concerning the use of the funding or these terms and conditions in a manner comparable to paragraphs 1-3.

33.2 Discretionary clawback

Innovation Funding Agency Business Finland has the right to order the discontinuation of the payment of funding and the clawback of funding or part thereof already paid if

1. false or misleading information has been provided for the purpose of payment or supervision of the funding, information has been concealed, the provision of the required information has been refused or the information requested by the Funding Agency has not been provided by a specific date
2. the beneficiary has directly or indirectly made funds or financial resources available or usable by natural persons, legal entities, entities or bodies on the embargo list or close to them
3. the beneficiary has not complied with the terms and conditions for funding
4. the beneficiary has not informed the Funding Agency without delay of any change affecting the realization of the intended use of the funding or of any other change affecting the use of the funding
5. the funding has not been used for the purpose specified in the funding decision
6. the beneficiary has not been able to demonstrate how the project plan has been implemented or what the results have been
7. the beneficiary has refused to assist in the project audit
8. the beneficiary has terminated the project for which the funding was granted, reduced or altered it substantially or transferred it to another party
9. the beneficiary has been subjected to recovery proceedings, placed into liquidation or bankruptcy, or made subject to reorganization proceedings
10. the requirement laid down in section 12 of the Government Decree 1444/2014 concerning the increasing of the funding intensity is not met during the duration of the project

11. the beneficiary or its representative has been convicted or sanctioned in accordance with section 22 of the Act on the amendment of state subsidies
12. the claw-back of funding is required under European Union legislation
13. the beneficiary otherwise acts in a manner comparable to the matters in this section. This is considered to be the case, for example, if the beneficiary neglects registration, notification or payment obligations related to taxes or other statutory obligations.

33.3 Interest

The beneficiary must pay interest on the amount to be repaid or clawed back. The interest rate is determined from the date of payment of the funding until the Funding Agency has the information available to make a decision. It is calculated as an annual interest to which three percentage points are added. The annual interest is determined in accordance with section 3(2) of the Interest Act (633/1982).

If the clawback of a loan or part thereof has been ordered on the basis of section 7, subsection 1 of the Act on Central Government Lending and Guarantees, the beneficiary must also pay the add-on interest stipulated in the Act at the same time. The add-on interest must also be paid on loan amounts that have already been repaid if the loan was repaid after the lender was misled in the manner described in subsection 1. The add-on interest will be applied from the drawdown date of each installment to the date of repayment or the set date of repayment.

33.4 Penalty interest

If the beneficiary has not paid the amount to be repaid by the due date set by the Funding Agency, an annual penalty interest must be paid on the outstanding balance of the loan. For the period after the due date, the penalty interest is in accordance with the interest rate referred to in section 4(1) of the Interest Act (633/1982).

33.5 Moderation of grant clawback

Innovation Funding Agency Business Finland may decide that a part of the sum to be repaid or clawed back, and any interest or penalty interest on it, will not be clawed back if repayment full is unreasonable in light of the financial standing and circumstances of the beneficiary or in relation to the type of property acquired with the grant or in relation to the procedure on which the clawback is based or because of a change in circumstances. For an extremely weighty reason, Innovation Funding Agency may decide to totally waive the sum to be repaid or clawed back, or the interest or penalty interest on it.

33.6 Clawback time limit

The grant and interest or penalty interest on it will not be clawed back if ten years have elapsed from the remission of the final instalment of funding for the project.

34 Right of offsetting

The funding to be repaid or clawed back and the interest on it may be deducted from the other funding provided to the beneficiary.

The State Treasury is entitled to exercise the same right of offsetting in relation to loans granted by the Funding Agency.

35 Misuse

If, during the course of the project, there is reason to suspect that the beneficiary or a person acting on the beneficiary’s behalf has committed a criminal offence under the Criminal Code (19 December

1889), with the Funding Agency as the injured party, the Funding Agency will take the required action in the matter.

36 Order of application

In the event of a conflict between the funding decision and appendices to it, the following order of application will apply:

1. Funding decision and any special terms and conditions thereof
2. Bond issued by the State Treasury
3. Funding terms and conditions
4. Cost estimate
5. Project plan
6. Funding application and the appendices to it
7. Any other documents relevant to the funding decision

37 Legal basis

- Articles 25 and 28 of the General Block Exemption Regulation (Commission Regulation declaring certain categories of aid compatible with the internal market in application of Articles 107 and 108 of the Treaty (EU) No 651/2014 (OJ L 187, 26.6.2014, p. 1)
- Act on Discretionary Government Transfers (688/2001)
- Act on State Lending and State Guarantees (449/1988)
- Government Decree on Funding for Research, Development and Innovation Activities (1444/2014)
- Act on General Conditions for Aid Granted to Economic Activities (429/2016)